

answer by June 29. The Court does not know if defendant tried to contact plaintiff's counsel to ask for a stipulation, but this should have been handled by stipulation.

16. 9:00 AM CASE NUMBER: C25-03224
CASE NAME: SHOPS AT TODOS SANTOS, LLC VS. EDWIN TIU
HEARING IN RE: MOTION TO SET ASIDE DEFAULT
FILED BY:

TENTATIVE RULING:

This is a rent collection action for restaurant premises. Defendant Thomas Phu is in default, but moves pro per to vacate the default. The motion is unopposed, and it is **granted**. Tran may file and serve his answer by June 29. The Court does not know if defendant tried to contact plaintiff's counsel to ask for a stipulation, but this should have been handled by stipulation.

17. 9:00 AM CASE NUMBER: C26-00382
CASE NAME: GIOVANNI BIASIN VS. NISSAN NORTH AMERICA INC., A CORPORATION
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: NISSAN NORTH AMERICA INC., A CORPORATION

TENTATIVE RULING:

This demurrer was **withdrawn** in light of plaintiff's voluntary dismissal of the challenged cause of action.

18. 9:00 AM CASE NUMBER: MSC19-01228
CASE NAME: KENZIE CONSULTING VS CUNNINGHAM
***HEARING ON MOTION IN RE: SET ASIDE JUDGMENT ENTERED AGAINST DEFENDANTS**

FILED BY: CUNNINGHAM, HART PEARSON

TENTATIVE RULING:

Judgment for plaintiffs was entered in 2023 after defendants' answers and cross-complaint were stricken for repeated failures to appear and disobedience of an order to mediate. Defendants now move to vacate the dismissal and judgment. The motion is **denied**.

Background and Course of Litigation

Plaintiff Tierney and his related consulting business filed this suit in June 2019, to collect amounts due for various professional and business services provided to Cunningham and his affiliated businesses. All defendants were served in July 2019, through personal service on Cunningham at his residence in Haiku, Hawaii.

In November 2019, the Court denied defendants' motion to dismiss for lack of personal jurisdiction and forum non conveniens. Thereafter defendants answered the complaint, and Cunningham personally cross-complained against plaintiffs for breach of a confidentiality agreement and conversion of business opportunities. He amended his cross-complaint further in November 2020,

including his affiliated corporations as co-cross-complainants.

Cunningham and his corporations were represented by an attorney, Stephen Moses. Cunningham participated actively in the litigation for several years, including signing multiple declarations. The defense effort included challenges to plaintiffs' pleadings, and taking and responding to extensive discovery.

In October 2021, the Court directed that the parties must engage in mediation. Nearly a year later, in September 2022, plaintiffs' attorney (specially appearing also for Moses) informed the Court that the attorneys had agreed on Gary Sanders as a mediator and were selecting dates. However, he said that Moses would be filing a motion to withdraw as counsel. Apparently counsel also stated that defendants were refusing to proceed to mediation, as the Court issued an OSC to them for failure to mediate.

In October 2022 Moses filed his withdrawal motion. The following day Moses informed the Court that he had been actively trying to get his clients to mediate. His motion to withdraw was granted in January 2023. In April 2023, plaintiffs' counsel likewise confirmed that Cunningham had not responded to any attempts to communicate with him about mediation.

As a result, in April 2023 the Court acted on the OSC by striking the defendants' answers and cross-complaint. The following October the Court entered judgment in favor of plaintiffs and against defendants. That judgment remains in place.

Since then, there have been proceedings in Hawaii and Arizona to enforce and collect the judgment. Otherwise, however, there was no activity in this Court's file until the present motion was filed in August 2025.

Representation of Defendants on This Motion

All defendants filed this motion last August through attorney Reshma Kamath. Kamath, however, was subsequently disbarred. For this reason (and particularly because the corporate movants cannot appear without counsel), hearing of this motion was postponed at plaintiffs' suggestion (and over Cunningham's objection) to give defendants time to hire substitute counsel. Cunningham initially substituted in in pro per for himself. In April 2026 he substituted in a new attorney for himself, David Smart. Not until last Thursday, June 4, however, did Smart also substitute in on behalf of the corporate defendants.

The Governing Law

Cunningham bases his motion on CCP section 473. "A party seeking relief under section 473 bears the burden of proof." *Hearn v. Howard* (2009) 177 Cal.App.4th 1193, 1205, citing *In re Marriage of Kieturakis* (2006) 138 Cal.App.4th 56. "Absent [the filing of an attorney affidavit of fault], the moving party's evidence must preponderate as to the claimed 'mistake, surprise, inadvertence or excusable neglect.'" *Weil & Brown, Civ. Proc. Before Trial*, ¶ 5:394 (2015), citing *Luz v. Lopes* (1960) 55 Cal.2d 54, 62. "Also, the moving party must show due diligence in seeking discretionary relief

after discovery the default.” Id.

As summarized by the commentators in The Rutter Group’s California Practice Guide: Civil Procedure Before Trial (2024 Update) (“Rutter California Practice Guide”) ¶ 5:327: “The issue boils down to whether the moving party has shown a reasonable excuse for the default. [See *Shapiro v. Clark* (2008) 164 CA4th 1128, 1141-42, rejecting “categorical statements about what can be found to constitute excusable neglect”]. ¶5:329: “Reasonable diligence as test. In the absence of an ‘attorney affidavit of fault,’ the burden is on the moving party to show that the neglect was excusable: i.e., that the default could not have been avoided through the exercise of ordinary care. [*Jackson v. Bank of America* (1983) 141 CA3d 55, 58 -- “the acts which brought about the default must have been the acts of a reasonably prudent person under the same circumstances”].”

As summarized in the Cal. Judges Benchbook: Civ. Proc. After Trial (2024) §1.22 “Excusable Neglect:”

Prudent Person Standard: A judge may grant relief from default or a default judgment on the ground of the defendant's excusable neglect (CCP § 473(b)) if the defendant shows a reasonable excuse for the default. *Jackson v Bank of America* (1983) 141 CA3d 55, 58. Excusable neglect is an act or omission that might be expected of a reasonably prudent person under similar circumstances. *Zamora v Clayborn Contracting Group, Inc.* (2002) 28 C4th 249, 257.”

No relief for inexcusable neglect. The defendant's inexcusable neglect prevents relief. *Carroll v Abbott Labs., Inc.* (1982) 32 C3d 892, 895. A judge may not set aside a default judgment under CCP § 473(b) for inexcusable neglect simply because the plaintiff will not be prejudiced if the judgment is set aside. 32 C3d at 900; *Stafford v Mach* (1998) 64 CA4th 1174, 1187. In *Stafford*, the appellate court rejected the defendant's contention that because the plaintiff did not file a counter-declaration alleging prejudice or injustice from a trial of the case on the merits, the defendant was only required to provide very slight evidence in order to justify setting aside the default. 64 CA4th at 1187.

Significantly, “a stronger showing of the excusable nature of neglect is required to obtain relief under a court's equity power, than would be necessary for relief under section 473. *Carroll*, 32 Cal.3d at 901, fn. 8.

As further summarized in Cal. Judges Benchbook: Civ. Proc. After Trial (2024 Update) § 1.23 “Consideration of Evidence:”

Evidence must be competent. The evidence in support of the motion for relief (e.g., the defendant's declaration in support of discretionary relief or the attorney's sworn affidavit in support of mandatory relief) must be competent. The declaration or affidavit must contain facts within the witness's personal knowledge, not hearsay, opinions, or conclusions. See *Roman v Usary Tire & Serv. Ctr.* (1994) 29

CA4th 1422, 1427 n2, 35 CR2d 329.

Assessment of credibility. The judge must assess the credibility of the declarations and affidavits, determine the weight to be given to their contents, and resolve any conflicts in the evidence. *Shamblin v Brattain* (1988) 44 C3d 474, 479; *Cowan v Krayzman* (2011) 196 CA4th 907, 915 (judge determined attorney's declaration of fault was not credible); *Lorenz v Commercial Acceptance Ins. Co.* (1995) 40 CA4th 981, 998, 47 CR2d 362 (judge determined attorney's declaration of fault was credible).

As further summarized in Cal. Judges Benchbook: Civ. Proc. After Trial (2024 Update) § .15

“Overview; Judge's Guidelines:”

To be entitled to relief, the defendant has the burden of showing that the default was in fact entered by reason of mistake, inadvertence, surprise, or excusable neglect. [] If the defendant fails to make this showing, a judge has no discretion to grant relief. *Hopkins & Carley v Gens* (2011) 200 CA4th 1401, 1410; *Fasuyi v Permatex, Inc.* (2008) 167 CA4th 681, 694.”

“Evidence submitted to carry the movant’s burden should be in the form of declarations presenting competent and admissible evidence sufficient to establish “mistake” or “excusable neglect.” Such declaration should include ‘detailed factual explanations as to how the claimed ‘mistake’ or ‘neglect’ occurred.’” Weil & Brown, Civ. Proc. Before Trial (2015 ed.), ¶ 5:395. The moving party “must avoid declarations or conclusions” and “be very specific about what happened.” Id., at ¶ 5:390.1. See, e.g., *Rambush v. Rambush* (1968) 267 Cal.App.2d 734, 746 (finding that declarations in support of motion of to set aside default judgment failed to make sufficient showing of inadvertence, mistake, surprise or excusable neglect.).

A moving party has a dual burden. Besides showing that the error resulted in the default/judgment was excusable, a moving party must comply with certain procedural requirements to qualify for relief under section 473(b). Specifically, the moving party's application for relief “shall be made within a reasonable time, in no case exceeding six months, after the judgment ... was taken.” This reasonable time requirement means a moving party must show that he or she acted diligently once learning of the judgment. (*Huh v. Wang* (2007) 158 Cal.App.4th 1406, 1420.)

Under section 473(b), “[t]he word ‘excusable’ means just that: inexcusable neglect prevents relief.” *Iott v. Franklin* (1988) 206 Cal.App.3d 521, 528.

Section 473(b) is designed to protect against default when there is “some condition or situation in which a party ... is unexpectedly placed to his injury, without any default or negligence of his own, which ordinary prudence could not have guarded against.” *State Farm Fire & Casualty Co. v. Pietak* (2001) 90 Cal.App.4th 600, 611.

“The court's ability to grant relief under its inherent power is narrower than its ability to grant relief under section 473, subdivision (b).” (*Carroll v. Abbott Laboratories, Inc.* (1982) 32 Cal.3d 892, 901,

fn. 8.) This is especially true after a default judgment has been entered. “A party who seeks to set aside a default judgment pursuant to the court’s equity power must make a substantially stronger showing of the excusable nature of his or her neglect than is necessary to obtain relief under ... section 473.” (*In re Marriage of Stevenot* (1984) 154 Cal.App.3d 1051, 1074.) As our Supreme Court has explained, “[w]hen a default *judgment* has been obtained, equitable relief may be given only in exceptional circumstances. ‘[W]hen relief under section 473 is available, there is a strong public policy in favor of granting relief and allowing the requesting party his or her day in court. Beyond this period there is a strong public policy in favor of the finality of judgments and only in exceptional circumstances should relief be granted.’” (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, at 981-82.); accord, *Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13, 29.

The Circumstances Leading to the Dismissal

Cunningham seeks to depict a scenario in which he was wholly and innocently unaware of Judge Maier’s order to mediate, of her order to show cause why the parties had not mediated, and of her subsequent dismissal of the case. He wants the Court to believe that he knew nothing about what was going on in the case after sometime in 2021, and that he was wholly unaware of the entry of terminating sanctions and judgment in 2023. He further suggests that none of this was his fault, and that attorney Moses must somehow be to blame – or perhaps it was the Court or the other side.

The evidence does not credibly support his depiction. His rather cursory declaration in support of this motion elliptically states only that he was “not *meaningfully* aware of status of this case as it progressed, and *I believe* the judgment was entered without actual notice or an opportunity to respond” (emphasis added by the Court). No elaboration is offered on what these obvious weasel words are supposed to mean.

Further, no explanation at all is offered for how Cunningham transitioned from full, active participation in the case in 2019-20, to complete incommunicado ignorance in 2021 or 2022. He does not claim his attorney stopped attempting to communicate with him; he does not claim that he relocated or left the country; he does not say his telephone, e-mail, and internet service were somehow cut off. Nor, if any of those events had occurred, does he assert that he ever updated or corrected the contact information available to his attorney.

Also not credible or satisfactory are his sketchy and incomplete assertions about why he received no notice. He says that at the time he was residing at 180 Door of Faith Road in Haika, Hawaii – the address where he was first served in 2019, and (because it was the last known address) the address to which notices were sent to him. But, he says, that location “does not receive U.S. mail, as it lacks a mailbox and postal delivery service.” The Court is by no means sure it believes that is factually true. But if it is, that appears likely to be so by Cunningham’s own deliberate choice. A quick Google Maps search (of which the Court can take judicial notice sua sponte) shows that the address is not in some remote wilderness, but in a fairly densely populated residential neighborhood, near a substantial town, on the north shore of Maui. Thus, the most likely inference is that the address lacked postal service only because it lacked a mailbox – presumably no one’s choice other than Cunningham’s. Cunningham offers no contrary explanation, such as that the USPS refuses to serve the neighborhood. Nor does he claim that he ever provided any different or changed mailing address to Moses or the

Court.

Similarly, Cunningham says the e-mail address used by Moses was “outdated”. He doesn’t say when he stopped using or checking it, or why it was outdated. And more importantly, he doesn’t suggest that there was some other e-mail (or mailing) address that he had notified Moses of, and that Moses should have used instead.

Cunningham is likewise completely silent on what efforts or communications he made to try to remain in communications or find out what was going on with the case. Suppose it was true, as he claims, that sometime in 2021 or so he stopped hearing from his lawyer about progress or developments in the lawsuit – whether because his lawyer was falling down on the job, or because Moses no longer had any workable contact information. But surely *Cunningham* had *Moses’s* phone number, e-mail, and address. Why, if he knew there was a lawsuit going on but he was being left in the dark about it, didn’t he pick up the phone and re-establish contact with his own attorney to ask what was going on?

Moses’s own description of what was going on, in his declaration supporting withdrawal, is clearer, less equivocal, and more credible:

My client, defendant Hart Cunningham, is the founder, director and officer of the remaining defendants, Alansis.com, Lender Scout Corp. and Speak With a Geek, Inc. Mr. Cunningham lives out of state in Hawaii. He has not responded to my attempts to communicate with him in almost over a year. He has not paid any recent invoices and he did not respond to my requests for authority to hire a mediator and schedule a mediation date. He did not respond to my notices requesting that he sign a Substitution of Counsel or notice of this Motion to be Relieved as Counsel. I cannot represent Mr. Cunningham and he corporate entities without any client communication and cooperation. Therefore, I respectfully request the court to relieve me as counsel for the defendants (including on the Cross-Complaint).

And therein lies one of the two gaping holes in defendants’ motion. It is only dubiously true, as Cunningham claims, that he was totally uninformed about developments in the case. But assuming that that was actually true at the time – whose doing was that? It was Cunningham who had given Moses only an address to which mail couldn’t be sent, and only an e-mail that Cunningham was no longer checking. Defendants make no claim that there was any other mailing address, e-mail, or other means of contact that they had provided to either Moses, or to the Court, or to the opposing counsel, that they should have been using instead of the now-ineffective contact information that defendants themselves had previously provided and never updated. And it was Cunningham who went years without bothering to check in with his own lawyer (or the Court) to find out what was going on. The clear picture that emerges, then, is that at some point in 2021 or so, Cunningham tired of the litigation, and decided that if he just ignored the lawsuit it would go away – along with his lawyer’s bills.

The case law is well-settled that defendants cannot place themselves beyond any method of contact -- and then when they lose the case, complain that the defeat doesn’t count because they were not

notified. E.g., *Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13, 31-34; *McClain v. Kissler* (2019) 39 Cal.App.5th 399; *Lint v. Chisholm* (1981) 121 Cal.App.3d 615.

In *Kramer*, the Court of Appeal reversed the order of the trial court which had granted relief from a default judgment, the Court of Appeal holding that the trial court's setting aside of the judgment was an abuse of discretion because the default had resulted from the failure of the moving parties to have provided notice of the current address where the moving parties could have been served by mail. The Court of Appeal held that the defendants representing themselves were not entitled to relief due to their failure to provide notice of their addresses and their failure to check their mail, which failures caused documents served by the plaintiff to not be received by the defendants. 56 Cal. App. 5th at 35. "[D]efendants made themselves unreachable by any means. They could not be reached by phone or e-mail, missing multiple phone calls from plaintiff and an e-mail from the trial court. Defendants cannot deliberately neglect this lawsuit and go off-grid, so to speak, and then complain that they lacked notice of the proceedings." *Id.* at 20.

In *McClain*, the Court of Appeal, in affirming the trial court's denial of relief from a judgment on the grounds that excusable neglect was not shown, stated:

The concept of "excusable," furthermore, is not synonymous with a get-out-of-jail-free card for parties who later come to regret past inaction or sitting on their rights. "The inadvertence contemplated by the statute does not mean mere inadvertence in the abstract. If it is wholly inexcusable it does not justify relief. [Citations.] It is the duty of every party desiring to resist an action or to participate in a judicial proceeding to take timely and adequate steps to retain counsel or to act in his own person to avoid an undesirable judgment. Unless in arranging for his defense he shows that he has exercised such reasonable diligence as a man of ordinary prudence usually bestows upon important business his motion for relief under section 473 will be denied. [Citation.] Courts neither act as guardians for incompetent parties nor for those who are grossly careless of their own affairs. ... The only occasion for the application of section 473 is where a party is unexpectedly placed in a situation to his injury without fault or negligence of his own and against which ordinary prudence could not have guarded.'" (*Hearn v Howard* (2009) 177 Cal.App.4th 1193, at p. 1206.)

39 Cal. App. 5th at 414-15. As the *Kramer* court stated:

"[T]he 'person to be served' has the burden of notifying the court of any change of address, and failure so to do does not enable him to claim improper notice." (*Bethlahmy v. Customcraft Industries, Inc.* (1961) 192 Cal.App.2d 308, 310.) Even under the more lenient section 473, subdivision (b), "[w]hen a default is the result of one party flouting [the California Rules of 17 Court] or failing to exercise diligence to ascertain what the law requires of them, trial courts ... should not ... grant that party relief from default." (*McClain v. Kissler* (2019) 39 Cal.App.5th 399, 404-405, 424.)

56 Cal. App. 5th at 31.

In *Lint*, 121 Cal.App.3d 615, where the Court of Appeal affirmed the trial court's denial of a motion to vacate a default judgment, Chisholm was a self-represented attorney who claimed that he had never received the notice of trial and therefore failed to appear at trial. (Id. at p. 619.) The trial court denied his motion to vacate default judgment under section 473, finding that his failure to notify the court of a change of address was not excusable neglect. The Court of Appeal affirmed that denial, explaining: "Chisholm did not show (1) his failure to notify the court of his address change, or alternatively to otherwise adequately arrange for mail delivery, was the act of a reasonably prudent person under the same circumstances; or (2) the nonreceipt occurred without any fault of his own...."

These cases arise as to unrepresented parties, and some of them apply to situations where the defaulted defendant never appeared in the case to start with. But the principles stated in the cases apply even more strongly to parties (such as these defendants) that actually had an attorney, actually participated actively in the defense for some years, and then decided to put themselves out of any means of contact by their own attorney, the Court, or the opponent.

This also suffices to dispense with defendants' rather overblown rhetoric about how the judgment was "void" for lack of constitutionally sufficient notice or service. Again, this is not a case of defendants who never had any way of knowing they were being sued, until after a default judgment had been entered against them. Cunningham and his corporations not only knew about this litigation, but indeed actively participated in defending against it – until Cunningham apparently decided he didn't want to be bothered, and by action and inaction saw to it that no one (including his own attorney) could communicate with him to apprise him of developments and requirements in the case. Intentionally and knowingly dropping out of contact in a litigation, does not mean giving oneself a constitutional immunity from losing it for lack of communication.

Untimeliness and Lack of Diligence

A second ground for denial, factually overlapping but legally sufficient in itself, is that defendants have not come anywhere close to acting with the reasonable diligence required for a motion for relief on any of the bases they assert.

For starters, the above discussion shows how -- even assuming that defendants were actually unaware of the events of 2021-23 that led to the judgment in this case -- that ignorance was entirely and solely self-inflicted, due to their own failure to maintain usable contact information, and to communicate with their own lawyer as to the status of the case. That in itself is sufficient ground to doom this motion for lack of reasonable diligence.

And then moving to the time after the judgment was entered in October 2023, it can again be pointed out that if defendants did not become actually aware of the entry of this judgment between 2023 and 2025, it was only because they made sure that no one could make them so aware. Again, that is the antithesis of reasonable diligence.

And finally, turning to when defendants *did* actually receive notice of this judgment: As plaintiffs correctly point out, defendants' moving papers never identify a specific date on which, they claim, they actually first found out about this judgment.

Plaintiffs, however, do have actual proof of when defendants did receive such knowledge. They point out that the court proceedings in Hawaii and Arizona for enforcement of the judgment were *actually served* on defendants at the Haiku address in March 2024. Those papers included a copy of the California judgment.

And they also provide an e-mail from defendant Cunningham personally, dated April 2025, in which he assured potential lenders on a pending transaction that the liens from this judgment would be removed. That proves that Cunningham had actual, personal knowledge that the liens – and the judgment – existed.

So where were defendants in the meantime? Even indulging their implicit but unstated assertion of actual ignorance before 2024, it is proved by undisputed documents that they waited nearly a year and a half, after receiving copies of this judgment, before they filed this motion. And they likewise waited some four months after themselves acknowledging the judgment's existence in their own communications. Under no possible stretch could either of those delays be deemed reasonable diligence.

19. 9:00 AM CASE NUMBER: MSC21-01751
CASE NAME: JOSE BELTRAN VS. MONUMENT CONSTRUCTION INC
HEARING IN RE: COMPLIANCE HEARING SET BY THE COURTROOM CONTINUED FROM 11.19.2025
FILED BY:
TENTATIVE RULING:

The final report as to disbursements is **approved**. The administrator may transmit any remaining funds to the Unclaimed Property Fund at the appropriate time, estimated as May 2027. If any late-appearing claimants present themselves in the meantime, however, their proceeds may be disbursed to them. No further hearings are required, but a final report documenting the disposition of all funds should be filed with the Court in due course.